

TIMELINE OF UPI EVOLUTION

2016



UPI GOES LIVE
INDIA'S UNIFIED PAYMENTS INTERFACE (UPI) ECOSYSTEM GOES LIVE, ENABLING INSTANT BANK-TO-BANK DIGITAL PAYMENTS

2020



UPI CHARGES SCRAPPED
GOVERNMENT REMOVES CHARGES ON TRANSACTIONS, PROVIDES FINANCIAL INCENTIVES TO BANKS AND PAYMENT SERVICE PROVIDERS TO SUPPORT SMALL-VALUE TRANSACTIONS

2026



TAXATION AND OTHER LAWS AMENDMENT BILL
THE PARLIAMENT PASSES THE TAXATION AND OTHER LAWS AMENDMENT BILL IN AUGUST, WHICH OPENS THE DOORS FOR BANKS AND OTHER SERVICE PROVIDERS TO LEVY CHARGES ON PAYMENTS MADE THROUGH UPI



LAW ITSELF DOESN'T IMPOSE
A MERCHANT DISCOUNT RATE (MDR). BUT IT REMOVES THE STATUTORY BAR THAT PREVENTED SUCH A LEVY SINCE JANUARY 2020



GOVERNMENT CLARIFIES THAT UPI PAYMENTS WILL REMAIN FREE FOR USERS. ALL PERSON-TO-PERSON TRANSACTIONS TO ALSO REMAIN FREE

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UPI payments will not have to pay any transaction charge. Person-to-person transactions will also remain free. As and when the charges are introduced, they will apply only to a limited set of merchant transactions, above a certain threshold, at a nominal rate, which the government says will be far lower than what is charged on debit or credit cards.

A likely possibility is that MDR will be applicable for transactions above ₹2,000; and the merchant will pay, not the customer. However, the worry is whether merchants will accept such an MDR or simply go back to cash payments.

The MDR is one reason why even today many small and me-

dium merchants are averse to accepting card payments; many don't even have the point of sale machine.

According to a recent survey by community social media platform LocalCircles, only 17% merchants and businesses that it surveyed—about 33,000 respondents—were willing to pay MDR of 0.3% or higher on UPI payments above ₹2,000.

Backers of zero MDR say affordability has been central to UPI's rapid adoption and therefore want it to remain free.

Bikash Narayan Mishra, former senior advisor to the Indian Bank Association, feels that zero MDR had helped make digital payments accessible to small mer-

chants and had supported wider access to formal financial services and credit.

Therefore, experts say, any change to the framework should also be evaluated on the overall impact on the merchant behaviour and financial inclusion, as well as the broader digital economy.

Dharmender Jhamb, partner and fintech industry leader at Grant Thornton Bharat, agrees that keeping UPI free will not be sustainable for a very long time. However, instead of charging MDR across the board above a certain transaction value, it would be better to do it for a certain category of merchants, he opines.

Therefore, he feels MDR should